For Own Thinking

(c) State whether the seller is an unpaid seller or not in the following cases:

i. X sold some goods to Y for Rs. 10,000. Y paid Rs. 9,900 but failed to pay the balance

ii. X sold some goods to Y for Rs. 10,000 and received a cheque for the full price as conditional payment. On presentment, the cheque was dishonoured by the bank.

iii. X sold some goods to Y for Rs. 10,000 on a credit of one month. One month has not yet expired.

iv. X sold some goods to Y for Rs. 10,000 on a credit of one month and one month has expired and the price remains unpaid.

v. X sold some goods to Y for Rs. 10,000 on a credit of one month. Y became insolvent during the period of credit.

Case Study

(i) X purchased a hot water bottle from Y, retail chemist. X asked Y if it would stand boiling water. The chemist told him that the bottle was meant to hold hot water. The bottle burst when water was poured into it and injured his wife. State whether seller is liable for the injury suffered by the buyer and the consequent compensation, give your reasons.

(ii) X asked a car dealer to suggest him car suitable for touring purposes. The dealer suggested a 'Buggati Car'. Accordingly, X purchased it but found it unsuitable for touring purpose. State whether the car dealer is liable for breach of condition?

(iii) X, a dealer sold a plastic catapult to B. While using the catapult in the usual manner, it broke due to the fact that the materials used in its manufacture were unsuitable. As a result, the boy who was using it, blinded in one of his eyes. State whether the seller is liable or not.

(iv) X bought from Y a heap of wheat the weight of which is 1000 kg at the rate of Rs. 8 per kg. and agrees to pay the price on the first day of the next month and the wheat is to be delivered at X's godown on the following day. A fire broke out and the entire quantity of wheat was destroyed. State whether X is liable to pay the price or not. Why?

(v) X bought from Y a heap of wheat (weight 100 kg) at the rate of Rs. 8 per kg. and Y had to put the wheat in bags to deliver it to X. Y filled some bags in X's presence, but before the remainder could be filled, a fire broke out and the entire quantity of wheat was destroyed. State whether X is liable to pay the price or not. Why?

(vi) X bought from Y a heap of wheat at a rate of Rs. 8 per kg and Y had to weigh the wheat. Before weighing was completed, the wheat was destroyed by fire. State whether X is liable to pay the price or not. Why?

Clues: Students are advised to read thoroughly the implied warranties and conditions for the cases 1 to 3 and rules relating to transfer of ownership for cases 4 to 6.

Key Words

Sale	Ownership	Property
Conditions	Warranties	Insolvency
Contingent	Lien	Suit

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